

This means you are not taxed on your entire salary; your taxable income is your salary minus your tax deductions, which we'll examine in greater detail later in the chapter.

This chapter is going to help you understand taxes and prepare you to file them competently and confidently. We will look at how taxes work, how they are calculated, how they are paid throughout the year, and how you file them. Buckle up for a non-stop thrill ride.

How Taxes Work

Before we learn about the heartbreak of paying taxes, let's start with some good news: you do not need to pay taxes on all your earnings. The money that you get to set aside and not have taxed is called your deduction. When you file your taxes, there are two ways to choose your deduction on your tax forms: (1) create an itemized list of everything you spent money on that is tax-deductible, or (2) just choose the standard deduction. The **standard deduction** is basically the average deduction for people who are filing in the same status as you (single, married filing jointly, or one of three other choices). The standard deduction is much easier than an itemized deduction (you literally just have to check a box that says *standard deduction* on your tax forms), and typically it ends up saving you money.

For 2020 the standard deductions are as follows: \$12,400 for single tax filers; \$24,800 for married couples filing together; and \$18,650 for heads of households.³¹ If you are a single person

31 "IRS Provides Tax Inflation Adjustments for Tax Year 2020," news release no. IR-2019-180, Internal Revenue Service, November 6, 2019, <https://www.irs.gov/newsroom/irs-provides-tax-inflation-adjustments-for-tax-year-2020>.